ISSUER REVIEW · 6M2026

Eesti Energia (Enefit)

WATCH

Estonia · Integrated energy (generation incl. oil shale and renewables, shale oil, networks via Elektrilevi, r

Watch. Eesti Energia is 100% state-owned with an investment-grade rating (Moody's Baa3, Fitch BBB-)[3,4]. But leverage is high: net debt / EBITDA 4.1x (3.6x a year earlier), and FY2025 showed an EUR 82.6m loss due to impairments[5,6]. The instrument held is a subordinated hybrid whose coupon may be deferred.

EBITDA · FY2025
317.2 EUR m
▼ 20.3 % vs FY2024

NET DEBT / EBITDA · 6M2026
4.1 x
▲ 0.5x vs 6M2025

NET DEBT · 6M2026
1,224 EUR m
▲ 10.0 % vs 6M2025

EQUITY · 6M2026
2,045 EUR m
▼ 12.3 % vs 6M2025

Quick summary

- **Weaker quarter:** Q2 EBITDA EUR 55.7m (76.9m), net loss EUR 8.6m (profit 27.3m)[5].
- **Leverage rising:** net debt EUR 1,224m, 4.1x EBITDA (3.6x a year earlier)[5]. Undrawn credit lines EUR 420m[7].
- **Shift to renewables:** 2,257 GWh of 3,623 GWh generated from renewables in 2025 (62%, own calculation); 872 MW wind and 172 MW solar[8].
- **New Strategy 2030+ (2026-09-17):** gradual phase-out of oil shale power, up to 350 MW of cleaner dispatchable (incl. gas) capacity, separation of the power and shale oil businesses[9].

Key facts

ISSUER RATING
Moody's Baa3 stable (2026-04-08); Fitch BBB- stable (2025-07-22); the hybrid is not rated separately in the documents read[1,2]

ANALYSIS DATE
2026-10-22

NEXT REPORT
Q3 2026 interim report - expected late October 2026

COUNTRY
Estonia

Securities held

Eesti Energia 7.875% perpetual subordinated hybrid
XS2824761188 · 7.875% · perpetual
no separate rating found

01 Instruments held and ISINs

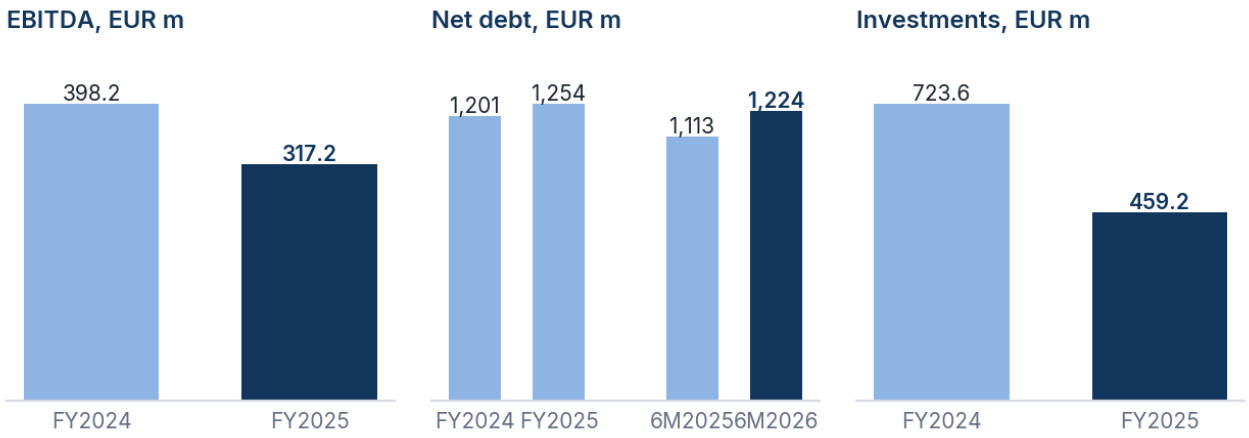
ISIN	INSTRUMENT	COUPON	MATURITY	ISSUE RATING	NOTE
XS2824761188	Eesti Energia 7.875% perpetual subordinated hybrid	7.875%	perpetual	no separate rating found	Perpetual; first call 2029-07-15

02 Key ratios

METRIC	FY2024	FY2025	6M2026	CHANGE
Revenue, EUR m[6,10]	1,785.2*	1,646.9*	939.9*	–
EBITDA, EUR m[6]	398.2*	317.2*	–	▼ 20.3 % vs FY2024
Net profit, EUR m[6,10]	12.9*	-82.6*	40.5*	–
Investments, EUR m[6]	723.6*	459.2*	–	▼ 36.5 % vs FY2024
Net debt, EUR m[6,5]	1,201*	1,254*	1,224*	▲ 10.0 % vs 6M2025
Net debt / EBITDA[6,5]	3.02x*	3.95x*	**4.1x***	▲ 0.5x vs 6M2025
Equity, EUR m[6,5]	2,383*	1,993*	2,045*	▼ 12.3 % vs 6M2025
Equity ratio[11]	–	–	**41.7%ᶜ**	–
Electricity generation, GWh[6]	3,791*	3,623*	–	▼ 4.4 % vs FY2024

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (internal benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – own calculation. Small numbers next to text link to the source (opens the document at the cited page).



03 Business performance review

- **State-owned:** power and heat generation (oil shale, wind, solar), shale oil, distribution grid (Elektrilevi), retail[12,6].
- The new Enefit 280-2 shale oil plant started up in April 2026; Elektrilevi's tariff rose 3.4% from June[13].

04 Financials

- FY2025 revenue EUR 1,646.9m (1,785.2m), EBITDA EUR 317.2m (398.2m), loss EUR 82.6m including EUR 197.6m impairment; investments EUR 459.2m[6].
- Equity EUR 2,045m at 2026-06-30; total assets EUR 4,901m; equity ratio about 42% (own calculation)[14]. The state injected EUR 100m of equity in May 2025[15].
- Debt EUR 1,666m at 2026-06-30; a EUR 300m 4.6% green bond (2031) was issued on 2026-05-28[7].

05 Past plans vs outcomes

PLAN / TARGET	OUTCOME	WHAT CHANGED AND WHY	STATUS
Phase out oil shale power generation	Strategy 2030+ says 'gradually' with no date; Moody's says 2030-2035[9,3]	No firm date in the new strategy[9].	**In progress**
Emit no more than 3.6 Mt CO2 in 2024-2027	Actual emissions not found in the reports[16]	Awaiting data[16].	**In progress**
Carbon-neutral electricity by 2045	Renewables 62% of 2025 output (own calculation)[17,6]	Part of output still comes from oil shale[6].	**In progress**

06 Investor information & conclusions

- **Instrument held:** a 7.875% perpetual subordinated hybrid, EUR 400m, issued 2024-07-15, first call 2029-07-15, annual coupon; London Stock Exchange[7].
- **Ranking:** the hybrid ranks below all other debt; Fitch treats it as 50% equity[18]. Moody's lists junior subordinated debt at B1 (the document does not say whether this is this hybrid)[19]. Coupon deferral and reset terms were not found.
- **Leverage:** 4.1x EBITDA – high; Moody's expects EUR 400-450m of EBITDA in 2026-2027 (agency forecast)[5,20]. The state has injected equity before (EUR 125m in 2020, EUR 100m in 2025)[15].
- **Conclusion:** elevated risk – high leverage and a subordinated instrument, but strong state support.

07 Market and environment

- **Weaker Q2:** EBITDA -28% to EUR 55.7m and a net loss of EUR 8.6m; management says the Q2 2025 frequency-service result was temporarily boosted by the market opening and has since normalised[21].
- **Competition and oil shale:** Estonian retail market share fell 4 pp to 38% on intense competition[22]; oil-shale power output fell 49% on lower market prices and imports[23].
- **Q2 market prices:** power in Estonia EUR 59.7/MWh (-1.9%), Lithuania 78.2 (+26.5%) – the Estonia-Latvia link capped Estonian prices[24]; TTF gas EUR 45.6/MWh (+28%), CO2 EUR 76.5/t, Brent USD 96.9/bbl (+45.3%)[25].
- **Strategy 2030+:** the company expects higher power-price volatility and aims to cover about two-thirds of Estonia's extra power demand by 2030, adding up to 350 MW of dispatchable capacity[9].

	NOW	3 MONTHS AGO	12 MONTHS AGO	12-MONTH CHANGE
ECB deposit facility rate	2.50% (2026-09)	2.25%	–	–
3-month Euribor	2.64% (2026-09)	2.34%	2.03%	▲ 0.61 p. p.
6-month Euribor	2.92% (2026-09)	2.60%	2.10%	▲ 0.82 p. p.

	NOW	3 MONTHS AGO	12 MONTHS AGO	12-MONTH CHANGE
12-month Euribor	3.25% (2026-09)	2.80%	2.17%	▲ 1.08 p. p.
Euro area AAA government 10-year yield	3.38% (2026-10)	3.23%	2.72%	▲ 0.66 p. p.
Euro area inflation (HICP, annual)	1.90% (2025-12)	2.20%	2.40%	▼ 0.50 p. p.

Euro area rates and inflation (ECB data, end-of-month value; Euribor and inflation – monthly average). Relevant for floating-rate and reset bonds and refinancing costs.

08 In the press

- **Hydrogen:** on 2026-10-20 the press reported that Eesti Energia gives up EUR 24.7m (of support) and the hydrogen infrastructure will not be built[26].
- **Narva heating:** on 2026-10-06 the company received a conditional permit to heat Narva with shale oil[27].

Automatic news scan (Google News, EE), 2026-07-26 – 2026-10-24: 6 articles.

2026-09-23	MANAGEMENT	Eesti Energia juht: andmekeskused on energiasüsteemile kasulikud ERR
2026-10-20	OTHER	Eesti Energia loobub 24,7 miljonist eurost, vesinikutaristu jääb ehitamata Majandus
2026-10-06	OTHER	Eesti Energia sai tingimusliku loa Narva kütmiseks põlevkiviõliga ERR
2026-10-04	OTHER	Eesti Energia endised tippjuhid lõid ettevõtte, kus töötavad vaid AI-agendid Äripäev · 1 more similar articles
2026-10-02	OTHER	Taavi Veskimägi: Eesti üks kallimaid otsuseid on olnud Eesti Energia erastamata jätmine Logistikauudised

09 ESG report

EXCLUSIONARY SCREENING (COMPANIES)

✓ **Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel**
- No weapons, tobacco or gambling.
- Oil shale mining, shale oil and oil shale power – the SEB policy gives unconventional oil and gas a Baltic exception until 2030[28]
- Moody's expects oil shale power to end in 2030-2035[3].

✓ **Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards**
- No UN Global Compact or OECD related controversies found
- ISS found none in 2024[29].

✓ **Yes, the company is not in the list of sanctions (add a screenshot)**
- Not found on the EU, UN, UK, US OFAC consolidated sanctions lists (automatic check 2026-10-24).

Manual check
- OFAC sanctions search[30]
- EU Sanctions Map[31]
- SEB eNameChecker (internal SEB system).

– **Yes, issues were not identified from adverse media checks (add a screenshot)**
- Found: on 2025-05-07 prosecutors opened a criminal case over the special audit findings (possible damage to Enefit Power)
- No one has been charged.
- The Environmental Board fined Enefit Power EUR 190,000 and EUR 110,000 for air emission breaches[32].
- News summary 2026-07-26 – 2026-10-24: 6 articles, 0 with an adverse keyword in the headline (details in the section "In the press").

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG INTEGRATION AND POSITIVE SCREENING (POSITIVE ANSWERS IMPLY HIGHER ALLOCATION)

✓ **Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)**
- Fast wind and solar expansion (872 MW wind, 172 MW solar), a green finance framework with an ISS opinion[33,34].

✓ **Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)**
- Targets: carbon-neutral electricity by 2045, Net Zero 2050[17,35].

– **Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards**
- Yellow flag: the criminal case over the audit and environmental fines[32]
- Moody's ESG credit impact CIS-4, environmental E-4[20].

✓ **Yes, the company fulfills the expectations from SEB thematic and sector policies**

Applicable
- The Fossil Fuels[36] and Electricity & Renewable Energy[37] policies.

Met
- A transition plan (Strategy 2030+), emission targets[9,34].

Could be improved
- A firm oil shale exit date.

Additional comments:

ENGAGEMENT

✓ **Is there a need for pro-active engagement with the company?**
- Worthwhile: the oil shale exit date, as the SEB Baltic exception for unconventional oil ends in 2030[28].

Additional comments:

INDICATORS

✓ **Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund**
- Renewable and non-renewable generation and emission caps are reported[38,16].

Additional comments:

Conclusion: No red flags, but oil shale activity is covered by the SEB Baltic exception only until 2030; yellow flag – the audit case and fines.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Fossil Fuels sector policy (coal, oil & gas, peat); Electricity & Renewable Energy sector policy; Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

10 Sources

1. Moody's - Eesti Energia credit opinion update, p. 1, 11, 2026-04-13
2. Fitch - Eesti Energia rating report, p. 1-2, 2025-07-22
3. Moody's - Eesti Energia credit opinion update, p. 1, 2026-04-13
4. Fitch - Eesti Energia rating report, p. 1, 2025-07-22
5. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 5, 2026-07-31
6. Eesti Energia - Annual report 2025 (unaudited), p. 8, 2026
7. Enefit - Investor page (bonds, financing), 2026-10-22
8. Eesti Energia - Annual report 2025 (unaudited), p. 8, 18, 2026
9. Eesti Energia - Strategy 2030+ press release, 2026-09-17
10. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 30, 2026-07-31
11. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 32, 2026-07-31
12. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 3, 2026-07-31
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14. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 5, 32, 2026-07-31
15. Moody's - Eesti Energia credit opinion update, p. 3, 2026-04-13
16. ISS-Corporate - Second Party Opinion on the Green Finance Framework, p. 19-20, 2024-06-04
17. ISS-Corporate - Second Party Opinion on the Green Finance Framework, p. 18, 2024-06-04
18. Fitch - Eesti Energia rating report, p. 4, 2025-07-22
19. Moody's - Eesti Energia credit opinion update, p. 11, 2026-04-13
20. Moody's - Eesti Energia credit opinion update, p. 8, 2026-04-13
21. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 12, 2026-07-31
22. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 14, 2026-07-31
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24. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 6, 2026-07-31
25. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 8, 9, 2026-07-31
26. Majandus – Eesti Energia loobub 24,7 miljonist eurost, vesinikutaristu jääb ehitamata, 2026-10-20
27. ERR – Eesti Energia sai tingimusliku loa Narva kütmiseks põlevkiviõliga, 2026-10-06
28. SEB Sector Policy on Fossil Fuels (2026-04-23), p. 8-9, 2026-04-23
29. ISS-Corporate - Second Party Opinion on the Green Finance Framework, p. 21, 2024-06-04
30. OFAC Sanctions List Search (US Treasury)
31. EU Sanctions Map
32. ERR - Prokuratuur algatas Eesti Energia erikontrolli tõttu kriminaalmenetluse, 2025-05-07
33. Eesti Energia - Annual report 2025 (unaudited), p. 18, 2026
34. ISS-Corporate - Second Party Opinion on the Green Finance Framework, 2024-06-04
35. Moody's - Eesti Energia credit opinion update, p. 5, 2026-04-13
36. SEB Sector Policy on Fossil Fuels (2026-04-23), 2026-04-23
37. SEB Sector Policy on Electricity & Renewable Energy (2026-04-23), 2026-04-23
38. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 5, 16, 2026-07-31

Report prepared from public sources. Figures are as published by the issuer; small numbers next to the text point to the source list.